

The Message Conveyed by These Graphs

Though the Dow is at new all-time highs in nominal terms, reflecting powerful social *emotion*, many of the current levels among the various components of economic activity are lower than the peaks of the 1960s and 1970s, reflecting a deterioration in the *tangible results* of such emotion. This fundamental change in the health of the economy says that what is approaching is not just the end of a four-year business cycle expansion, but one of much larger degree.

As discussed in Chapter 9, a fifth wave in the stock market is weaker than the corresponding third wave. In other words, even though prices reach a new high, the rate of change is less and the breadth is not as good. As explained in Chapter 12, the same thing is true of the accompanying fundamentals, which include economic performance. The period from 1974 to 1995 has been productive, *but economic performance today does not reflect the stock market's high valuation as strongly as did the economic performance from 1942 that culminated in 1968/73*. The overall picture since then has been one of declining peaks, revealing a long term slowing of upside momentum. Rarely does a trend enjoy more than two lower momentum peaks (the stock market since 1983 being a notable exception). If these were stock charts, they would be saying "sell." The fact that indicators of economic endeavor peaked in the 1960s fits the Elliott Wave thesis that what occurred at that time was not the ultimate extreme in psychology, which occurs in the fifth wave, but the extreme in the ability to *render real* the bullish psychology of the time, i.e., to translate ebullience into actual capital production, which is accomplished most effectively in a third wave.

New Highs in Some Measures

Charts of a few selected industries appear to reflect a very ebullient economy, but with those, one must be alert for special situations. Drug company earnings, for instance, have continued to break all records, as shown in Figure 13-19. The pharmaceutical industry is in a boom because of government health care giveaways. When government withdraws its support or imposes price controls and supply restrictions or takes its role to the point of socialized medicine, this line will turn down dramatically. Similarly, Figure 13-20 shows that auto company earnings are at their highest levels in decades. Take